

Forecasting



Economic forecasters build mathematical models of the economy. The models are made up of many equations, each describing a part of the economy: for instance, there might be an equation showing the link between movements in interest rates and investment by firms. Together, the equations can then be used to forecast future economic trends from the current state of the economy.

Forecasts are important to the financial markets, whose participants use them as a guide to investment strategy. An important element of forecasting is the use of leading indicators – variables that tend to herald broader changes in the economy. For example, movements in the stock market often anticipate the direction of the overall economy. However, forecasting is fraught with difficulty – the economy is so complex that it is hard

to build a watertight and comprehensive model – simplifying assumptions need to be made, and forecasts frequently err.